

L&T Technology Services Limited

Engineering Services · Pure-play engineering services

L&T Technology Services Reports 16% YoY Growth in Q2FY26 with Record High TCV of Near-USD 300 Million

L&T Technology Services Limited announced its financial results for Q2FY26, showcasing strong momentum with revenue of ₹29,795 million (up 15.8% YoY) and net income of ₹3,287 million (up 2.8% YoY). A record-high large deal TCV of near-USD 300 million highlights client confidence. The company continues to invest in AI-first delivery models, sustaining positive medium-term outlooks.

Key Highlights

- Revenue reached ₹29,795 million, up 15.8% YoY and 4.0% QoQ.
- Net profit increased to ₹3,287 million, registering a 4.1% QoQ growth and 2.8% YoY.
- Large deal wins touched a record high TCV of near-USD 300 million in the quarter.
- EBIT margin was reported at 13.4% for Q2FY26.
- An interim dividend of ₹18 per share was declared, with October 27, 2025, as the record date.
- The patent portfolio expanded to 1,601 filings, including 216 in AI/Gen AI.

Executive Summary

L&T Technology Services Limited (LTTS) reported solid performance for the second quarter of FY26 with consolidated revenue growing 15.8% year-on-year to ₹29,795 million. The quarter was highlighted by a record high total contract value (TCV) of near-USD 300 million in large deal wins, demonstrating strong market demand for the company's next-gen engineering offerings. EBIT margin stabilized at 13.4%, and Net Income stood at ₹3,287 million.

CEO Message & Growth Strategy

CEO & Managing Director Amit Chadha highlighted the resilience of LTTS' multi-segment and 'Go Deeper to Scale' strategy amidst macroeconomic volatility. The Sustainability segment grew 3.0% QoQ and 12.6% YoY, establishing a USD 50 million account on an annual run-rate basis. LTTS is aggressively transitioning to an AI-first delivery model, investing in Gen AI, Agentic AI, and Physical AI. The company expects both revenue and EBIT margins to see sequential improvement in the second half of FY26 and maintains its medium-term revenue aspiration of USD 2 billion.

Major Deal Wins

LTTS secured multiple multi-million-dollar programs in Q2FY26, including: a \$100 million multi-year sustainability program with a U.S.-based semiconductor industrial equipment manufacturer; a ~\$60 million multi-year network software and application engineering contract in the Tech segment with a U.S. wireless telecom provider; and key offshore development center (ODC) setups with global leaders in material-handling and energy management.

Consolidated Income Statement

Metric (₹ Millions)	Q2 FY25	Q1 FY26	Q2 FY26	QoQ Growth	YoY Growth
Revenue	25729	28660	29795	4.0%	15.8%
Cost of sales	18192	20625	21462		
Gross Profit	7537	8035	8333	3.7%	10.6%
Selling, General & Administration Expenses	2877	3411	3425		
EBITDA	4660	4624	4908	6.1%	5.3%
Depreciation & Amortisation	783	811	926		
EBIT	3877	3813	3982	4.4%	2.7%
Other Income, net	531	512	498		
Income tax expense	1208	1164	1188		
Minority Interest	4	4	5		
Net Income	3196	3157	3287	4.1%	2.8%
Gross Margin (%)	29.3%	28.0%	28.0%		
EBITDA Margin (%)	18.1%	16.1%	16.5%		
EBIT Margin (%)	15.1%	13.3%	13.4%		
Net Income Margin (%)	12.4%	11.0%	11.0%		

Segment Revenue Performance (USD)

Segment	Q2 FY25 Share	Q1 FY26 Share	Q2 FY26 Share	QoQ Growth	YoY Growth
Mobility	35.5%	29.6%	29.0%25-1.4%25-10.1%		
Sustainability	30.8%	30.8%	31.6%	3.0%	12.6%
Tech	33.7%	39.6%	39.4%	0.1%	28.6%